



In March 2003, when the Iraq war was on, the markets were very down and some of the stocks were available at ridiculously low valuations. The dividend yield was also very high. The price to earnings (PE) ratios were attractive. This was the time to invest in good stocks as one would be only buying reward and the risk would be minimal. The risk reward ratio would be in the investor's favour.



Nothing is Right or Wrong

Here are certain facts which prove the point that long-term investment is very rewarding and that patience is a virtue in equity markets. Three companies (and there are several others), that have given excellent long-term returns to investors who bought stocks over a decade ago and held on to them, are Hindustan Lever, Hero Honda and Infosys.

Hindustan Lever has given a compounded annual growth rate (CAGR) of 21 per cent in returns for the last 13 years, whereas Hero Honda has given 41 per cent CAGR to shareholders on their investments during the same period. Infosys has delivered an astounding 79 per cent annual return to shareholders since its listing 11 years ago. All these figures include dividends. As we can see this is far higher than the returns available on any other investment avenue like bonds or bank deposits.

However, this does not mean that these stocks have only gone one way, that is upwards. They have had pretty serious declines at various points of time, but despite that the long-term results from owning them have been impressive. Hindustan Lever has been falling for the last two years, Infosys had a very sharp decline after the bursting of the bubble in technology stocks, and Hero Honda also fell significantly in early 2003 when its quarterly sales slowed down.

Short-term investments can also be rewarding for the speculator who is able to take big risks and time the markets. Take the case of a speculator who had bought Infosys at Rs. 2,000 when the market started moving up, and sold it when it went to Rs. 13,800